This brings me back to the point, is the rate of return that we calculated in the previous sections the actual money earned or is it just fictitious? Well the rate of return that we calculated earlier does give the actual rate of increase in "amount" of money but does not give us an actual increase in the "value" or the "purchasing power" that we have in our hands.

The reason for this is that if the running annual rate of inflation is, say, 10%, then inflation has just eaten 10% of the 18.66% annualized which we had earned through Reliance mutual funds in Solution 4. Therefore my effective increase in purchasing power is just 8.66%, meaning if I could buy 100 kg of Mangoes last year, I can afford to buy approx 109 kg this year and definitely not 119 kg.

Thus, understanding and working knowledge of how to calculate inflation across multiple years is critical.

To make any purchase price comparable to today's price, we need to use the inflation figures from both the years and see the net difference.

Here in India, the Reserve Bank of India (RBI) has made our task easy. RBI publishes an inflation number called the Cost Inflation Index (CII) every year (starting from 1980).

The Cost inflation index by itself does not convey anything – but the increase in the number from one year to another is representative of the change in prices (and therefore, inflation) between these years.

Figure 2.4 provides the CII for 34 years starting from 1981.

What we can see clearly, is that one had to spend ₹182 in 1990–91 for an item which was available at ₹100 just 10 years prior i.e., in 1981–82 The table is updated by RBI every year based on the increase in prices of various essential commodities in that particular year.

This helps us to effectively compare returns and amounts across years after adjusting for inflation.

Cost Inflation Index